

Opple Lighting India Pvt Ltd vs Mr. Harjit Singh Proprietor Of M/S H. S. ... on 30 July, 2025

IN THE COURT OF SH NIKHIL CHOPRA,
DISTRICT JUDGE (COMMERCIAL)-02, SOUTH-
EAST, SAKET COURTS, NEW DELHI

CS (COMM): 654/22

In the matter of:

Opple Lighting India Private Limited

Through its AR

Mr. Sanjeev Kukreja, Account and Finance Manager

Office at: DTJ-1012, 1014-15, DLF Tower B,

Jasola District Centre, New Delhi-110025 Plaintiff

Versus

Mr. Harjit Singh Proprietor of

M/s H.S Marshal & Co.

Office: 671/1A, St. No-17,

Punjab Mata Nagar, Ludhiana,

Punjab-141013

Date of institution of suit : 08.07.2022

Judgment reserved on : 25.07.2025

Date of Judgment : 30.07.2025

Final Decision : Dismissed

JUDGMENT

1. Judgment disposes off a commercial suit for recovery of Rs. 60,61,340.19/- towards unpaid balance against supplies.

(i) The case of the plaintiff, in brief, is that it is a body corporate engaged in trading of lighting products. The defendant, a proprietorship concern of Sh. Harjeet Singh, was appointed as a distributor in terms of agreement dated 04.07.2016. Defendant CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

used to purchase the products from the plaintiff upon mutually agreed terms. The plaintiff had been raising invoices against the supplies and the defendant used to make payments with the plaintiff's bank account at Delhi. A running account in the name of the defendant was being maintained by the plaintiff and as per the same, the outstanding amount of Rs. 38,14,513.92/- has remained due. As per the terms of payment, the defendant was to make the payments within 45 days of each invoices, failing which the defendant was liable to pay interest @ 1.5% per month. As such the total amount as on 28.05.2022 comes to Rs. 60,61,340.19/-.

(ii) It is averred that the defendant has filed a suit of damages against the plaintiff on false and frivolous ground that the plaintiff had appointed another distributor on the same region and the said suit bearing CS No. 2238/2019 is pending before the Ld. Civil Judge (Junior Division) before the court of Ludhiana Branch.

(iii) The plaintiff further claims that the cause of action to file the present suit was lastly accrued on 16.02.2019, when the payment of Rs. 5 lakhs was made by the defendant with the bankers of the plaintiff i.e. Citi Bank, Connaught Place, New Delhi. It is averred that on account of the non payment, the plaintiff had initiated proceedings under section 12A Commercial Courts Act on 03.12.2021.

(iv) While claiming that the dispute is a "commercial dispute"

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and that a part of cause of action has accrued in Delhi on account of fact that the agreement was signed at Delhi, the plaintiff has prayed for a money decree to the tune of Rs. 60,61,340.19/- together with further interest @ 1.5% per annum and costs.

2.(i) Defendant appeared upon process and filed its WS. Defendant raised several objections including the objection as to the lack of territorial jurisdiction and the agreement being relied upon by the plaintiff as non executable. The defendant has objected to the filing of the suit on the ground that the plaintiff has falsely claimed that the agreement was executed at Delhi, as the defendant had never visited Delhi or signed the agreement at Delhi. As a matter of fact, it is averred, that the defendant had signed the document at Ludhiana on 07.06.2016, upon being approached by Sh. Ravi Thakur and Sh. Avinash Dadhwal, employees of the plaintiff. The said employees also took two blank cheques bearing No. 000557 and 000558 from the defendant and acknowledged the receipt on the counterfoil.

(ii) It is the case of the defendant that he was informed that the agreement would be separately signed by both the parties once its completely drafted, but the distributorship agreement was never completed. The plaintiff is stated to have misused the said document to show the relationship being governed by the said document. The agreement, even otherwise, is stated to be suffering from many defects, and bad for lack of consensus ad-

idem. It is stated that the first page thereof is not signed by the CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

defendant and there are many blank spaces in the agreement. It is the objection of the defendant's side that the document is not registered and has also expired its validity of two years, rendering it

non executable. The defendant has further assailed the validity of the document on the ground that the stamp paper does not bear signatures of the defendant and the second page onwards of the said document were signed at Ludhiana. It is stated that the plaintiff has been operating its office from Sanewal, Ludhiana, Punjab and all the payments were made at Ludhiana, as the same were collected by the employees of the plaintiff.

(iii) In addition, the claim of the plaintiff is challenged on the ground that the plaintiff has failed to put on record account of money payable to the defendant towards commission/stock of defective material/replacement invoices and the amount due against stocks lying unsold. It is the defendant's averment that he had requested the plaintiff for the products lying unsold to be taken back. It is the case of the defendant that the business has started in the year 2016 and it were the employees of the defendant who persuaded the defendant for taking up distributorship with plaintiff. The defendant was assured that he would be entitled to commission/incentives based on distribution of products. The defendant was further assured that the products would be of great quality and the same would be well received by the consumers and retailers.

(iv) It was on their assurances and discussions that the employees CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

of the plaintiff got the distributorship agreement signed from the defendant on 07.06.2016 at his office situated at Ludhiana, informing that the complete agreement would be signed at later stage. It was orally agreed that till the proper formal agreement is drawn, the plaintiff and defendant would be governed by practices of the distributorship business and that the defendant would also be entitled to commissions/incentives ranging from 1.5% to 2.5%. It was further agreed that the defendant would only be liable to make the payment on the sale of the products, and not upon mere delivery to the defendant, as per the settled practice in the distributorship business.

(v) It is the defendant's case that during subsistence of their business relationship, there were various instances where the product supplied were either sub standard, defective and out of warranty and the defendant used to return such products to the plaintiff and raised invoices which were duly paid by the plaintiff to the defendant. A sum of Rs. 12,21,822/- remains due and payable by the plaintiff to the defendant against the return of the product and invoices raised by the defendant.

(vi) The defendant claims to be further entitled to a sum of Rs. 4,62,800/- towards the unpaid commission/incentives, earned by the defendant on the sale/distribution of the plaintiff's product. It is further averred that due to plaintiff's neglect in lifting/replacing the old and unsold stock, the defendant had written an email to the plaintiff for taking back the aforesaid old and unsold stock worth CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

Rs. 8,47,298/- which is still lying with the defendant, apart from the defective and unsold goods worth Rs. 24,644/-. It is stated that the plaintiff has fabricated its ledger in order to claim the liability of Rs. 38,14,573.92/- and there are several amounts in the ledger, summing upto Rs.

3,49,963.21/-, which are totally unexplained.

(vii) Besides, the defendant has claimed that certain amounts in the form of credit note/vouchers for the purposes of product promotion worth Rs. 1,03,740/- have not been accounted in the ledger and the defendant has also suffered losses amounting to Rs. 6,27,169/-, on account of malpractices by the plaintiff.

(viii) The defendant is also stated to have acquired a premises for establishing warehouse/sales office, however, the defendant was shocked to find that the plaintiff has engaged other distributors also for its sale of products in Ludhiana, secretly, without any intimation/information to the defendant, leading to loss of reputation and business of the defendant. The defendant communicated its disapproval and annoyance vide email dated 09.02.2019. The defendant is also stated to be entitled to the rent @ Rs. 30,000/- per month for the period from 01.01.2018 to 31.03.2019, total amounting to Rs. 4.5 lakhs towards monthly rent as the plaintiff had used his premises for display an advertisement of its products. It is further claimed that the defendant is also entitled to a sum of Rs. 1,77,169/- from the plaintiff on account of the fact that the retailer did not make payment in respect of defective supplies.

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(ix) In all, the plaintiff is claimed to be liable for an amount of Rs. 36,37,436.21/- to the defendant, regarding set-off from the claim of the plaintiff.

3. Replication has been filed on behalf of the plaintiff, reiterating the submissions made in the plaint. Following issues were framed by Ld. Predecessor in terms of order dated 31.07.2023:

(i). Whether this Court has no territorial jurisdiction to try and entertain the present suit of the plaintiff? OPD/OPP

(ii). Whether the suit of the plaintiff is not maintainable as per the mandate of Commercial Courts Act, 2015? OPD

(iii). Whether there is no cause of action in favour of the plaintiff and against the defendant in this plaint? OPD

(iv). Whether the plaintiff is entitled for recovery of sum of Rs. 60,61,340.19/- (Rupees Sixty Lakhs Sixty One Thousand Three Hundred Forty and Nineteen Paise only) in favour of the plaintiff and against the defendant? OPP

(v). Whether the plaintiff is entitled for any interest on the decretal amount pendente lite and in future, if yes, then at what rate? OPP

(vi). Whether the plaintiff is also entitled to cost of the suit?

OPP

(vii) Relief.

4. Plaintiff examined its AR Sh. Sanjeev Kukreja as PW-1, who deposed through affidavit on the lines of his pleadings. He tendered the following documents in plaintiff's evidence:

1. Certificate under section 65B Indian Evidence Act as Ex.PW1/B (Objected to on the grounds of deficient certificate under section 65B Indian Evidence Act).

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2. Original board resolution dated 30.09.2020 as Ex.PW1/C.

3. Copy of distributor agreement dated 04.07.2016 as Mark A.

4. True copy of invoices issued by plaintiff to the defendant as Mark B (colly).

5. True copy of proof of delivery of the goods with respect to the said invoices as Mark C (colly).

6. True copy of ledger account maintained by plaintiff in the name of defendant as Ex.PW1/D.

7. Bank statement of the plaintiff showing payment received from the defendant in bank account in Delhi as Mark D.

5. In his cross examination, PW-1 stated that the plaintiff's Head Office is in China, and that Head Office is also at Jasola, Delhi. He stated that the agreement was executed in the year 2016, at Delhi, but not in his presence. He denied that the agreement dated 04.07.2016 was not completely executed between plaintiff and defendant. He denied that the agreement was not signed in Delhi. He admitted that there is no acknowledgment on the invoices from the defendant. He admitted that goods supplied to the defendant were from outside Delhi. He stated that he is not aware of as to existence of plaintiff's branch at Punjab and admitted that Sh. Avinash Dadhwal, Sh. Ravi Kumar, Sh. Gurmeet Singh, Sh. Nitin Kumar and Sh. Kamal Sharma look after the sales in Punjab Region.

He admitted that the stamp paper of Agreement-Mark A, had not been signed by the defendant. Regarding the reversal of entries of Rs. 86,500/-, Rs. 17,240/- and 1,03,740/- in the CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

statement of account, he submitted that the same may be due to wrong selection of ledger. He further admitted that amount of Rs. 5 lakhs received from defendant has not been entered into statement of account.

He admitted that goods were supplied on credit basis but denied that payment were to be made only upon sales to retailers.

He also admitted that the email as mentioned in Ex.PW1/D1, but stated that he cannot say whether defendant had requested for taking back the defective material.

He stated that entry of cheque no. 000841 for Rs. 5 lakhs was not cleared and that it was bounced. He denied that the cheque was cleared on 14.01.2019.

6. The defendant examined himself as DW1 and deposed through affidavit on the lines of the written statement. He proved the following documents:

1. Copy of the counterfoils as Ex. DW1/1 (OSR) (Colly.).
2. Copy of cheques issued by defendant as Mark-A (Colly).
3. Copy of the ledger account statement of the plaintiff supplied to defendant as Ex.DW1/3 (Colly).
4. Copy of return/refund invoices raised by defendant as Ex.DW1/4 (OSR) (Colly.)
5. Copy of consignment slips alongwith its internet generated tracking reports as Ex.DW1/5 (OSR) (Colly).
6. Copy of journal voucher as Ex.DW1/6 (OSR).
7. Copy of detailed list of defective goods as Ex. DW1/7 (Colly).
8. Copy of ledger account statements of the plaintiff as Ex.

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DW1/8 (Colly) (Objected to on the ground of mode of proof being photocopies).

9. Copy of debit and credit notes or vouchers (attachments) alongwith e-mails as DW1/9 (OSR) (Colly).

10.Copy of invoice/debit note as Ex. DW1/10 (OSR).

11.Copy of e-mail communications sent by defendant to the plaintiff alongwith attachments as Ex.DW1/11 (Colly).

12.Computer generated statements/lists as Ex.DW1/12 (Colly).

13. Copy of credit notes/vouchers (attachments) issued by plaintiff as Ex.DW1/13 (Colly).
14. Copies of TS-I marked as Mark-B (Colly).
15. Computer generated property tax return of the year 2017 to 2018, 2018 to 2019 and 2019 to 2020 as Ex.DW1/14A (Colly).
16. Photographs of the premises used by plaintiff as Ex.DW1/15 (Colly).
17. Computer generated/ drafted copy of statement/ list of retailers as Ex. DW1/16.
18. Computer generated/ drafted copy of statement/list of detail of entries ought to be set off as Ex.DW1/17.
19. Affidavit u/o XI Rule 6 (3) of Commercial Courts Act, 2015 as Ex.DW1/18.
20. Certificate by way of affidavit u/s 65-B of Indian Evidence Act/ u/s 63 of BSA, 2023 as Ex.DW1/19.

7. In his cross examination, DW-1 stated that he had signed the distributorship agreement in 2016 at Ludhiana. He admitted that he has not filed any counter claim or set off or the ledger maintained in respect of plaintiff. (The same was later produced as Ex.DW1/X1). He admitted that as per the same, a sum of Rs. CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

10,519/- remains payable to the plaintiff. As regards the communication of concerns as to quality of the material, he stated that he had informed the plaintiff about the same by means of emails Ex.DW1/D1 and Ex.DW1/11 (colly).

He denied that he had received the distributorship agreement back after putting his signatures. He admitted that he had filled a form and that the distributorship agreement was a part of that form. He stated that he is not aware whether he has filed the distributorship agreement in his case, pending at Ludhiana. When confronted with the certified copy of the distributorship agreement dated 04.07.2016, he stated that it was only a draft distributorship agreement but was not executed and that the stamp paper affixed with the said document at page no.1 was not shown to him. He denied that he had relied upon the distributorship agreement dated 04.07.2016 at Ludhiana.

(The certified copy of distributorship agreement dated 04.07.2016 was put up and marked as Ex.DW1/X1 on 13.02.2025, though erroneously and is treated as Ex.DW1/X2 as the statement of ledger account produced by the defendant has already been marked as Ex.DW1/X1 (colly) in his statement dated 30.01.2025).

8. In his further cross examination he was put to the jurisdiction clause as stipulated in the Ex.DW1/X1. He stated that the said distributorship agreement was never completed, nor read by

him carefully. He denied that he was appointed as non exclusive distributor in respect of Ludhiana Territory. He denied that he was responsible for all costs, charges, expenses in connection with sales, marketing, distribution, advertising and CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

promotion of the products, and further stated that he did not accept such terms.

In response to a specific query as to plaintiff's head office being situated in Delhi, he stated that the operating office of plaintiff is situated at Ludhiana and the team is working from said place. He admitted that he has claimed a set off of Rs. 36,37,436.21/- against the claim of the plaintiff to the tune of Rs. 38,14,573.90/- but denied that he remains liable for Rs. 1,77,077.71/-.

He denied that the payment terms were in sole discretion of the plaintiff and volunteered that Ex.DW1/X1 was never executed and, thus, its terms and conditions are not binding. As regards the liability to make payment on the conditions of the sale to the retailers, he stated that there is no written document in this respect, but is based on the understanding between the parties. He denied that the products worth Rs. 12,21,822/- as mentioned in his WS were out of warranty and, thus, not acceptable by the plaintiff. He admitted that as per Ex.DW1/1 there is an entry with respect, to credit note of Rs. 4,72,012/-. He denied that the plaintiff is not liable to take back the unsold material worth Rs. 8,47,298/- or replacement of stock Rs. 24,664/- as the same were not under warranty. He denied that Ex.DW1/1, (the statement of account) was made by him after adjusting the entries which were never approved by the plaintiff. He denied that the entire amount of set off is based on sole decision of the defendant. He further denied that the plaintiff is not liable for any non payment by the retailers of the defendant firm. He denied that plaintiff is not liable to pay CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

the rent, as claimed in the WS.

9. DW-1 was further examined on 04.07.2025 in relation with certificate of bank Ex.DW1/Z, however, there was no cross examination as none appeared from plaintiff's side.

The defendants further examined Sh. Ravi Shanker Singh, ex-employee of the plaintiff company, who supported the version of defendant as far as signing of the agreement and taking of the blank cheques as security, at Ludhiana. He also deposed that no stamp paper was used for signatures from the distributor and that the authorized higher officers of the plaintiff company would later sign and approve these documents at head office level. He also stated that the plaintiff company maintained an office and warehouse at Sanewal, Ludhiana, Punjab. The witness was not cross examined despite opportunity, as none appeared for the plaintiff.

10. No arguments have been addressed by the plaintiff's side and no written submissions were also filed for or on behalf of plaintiff, despite opportunity.

11. I have heard the Ld. Counsel for defendant and have gone through the relevant records as well as the written submissions filed by the defendant.

Main contentions of Ld. Counsel for defendant are:

(i) No cause of action has accrued at Delhi and the plaintiff cannot maintain the present suit at Delhi. The proposed/draft CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

agreement was signed by the defendant only at Ludhiana, which is also proved by DW-2.

(ii) The agreement Ex.DW1/X2 cannot be relied upon as, even otherwise, its validity of two years have expired. The parties were supposed to complete the agreement and sign a separate document, however, as the same was not done, the terms and conditions thereof cannot be claimed as binding.

(iii) The plaintiff had not given due credits of various schemes of incentive, concessions on sale targets being achieved, as well as credit notes in respect of the return of the goods/non-clearance of the goods and against the stock that require replacement. The defendant has proved the same on record.

(iv) The defendant is also entitled to various expenses including the rentals for the premises taken on hire at Ludhiana for the purpose of maintaining the business place and in all the defendant is also entitled for a set off of Rs. 38,14,573.90/-.

(v) Documents not duly proved cannot be taken into consideration for the purpose of evidence.

(vi) The statement of account Ex.PW1/D is not reliable in as much as the plaintiff has admittedly not taken into account two payments of Rs. 5 lakhs each while wrongfully treating the cheques as dishonoured and recklessly debiting the cheque return charges that too to the tune of Rs. 5,900/-, which reflects upon the improper manner of maintenance of accounts.

(vii) The plaintiff has also not been able to explain the reversal of entries in respect of various amounts. The document cannot be relied upon for any purpose as the defendant has also produced the certificate from the bank which clearly says that the cheques No. 000841 for a sum of Rs. 5 lakhs and another cheque No. 000857 for a sum of Rs. 5 lakhs have been debited from bank account no. 50200012634995 with HDFC Bank, Phuallawala, Punjab-141002. With the certificate proved on record and having regard to the clear admissions by the defendant as to not adjusting of the cheques amount, no credibility can be assigned to the statement of account Ex.PW1/D.

(viii) The defendant is liable to pay a sum of Rs. 36,37,436.21/- together with interest and the claim of the plaintiff is liable to be dismissed.

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Time now to deal with the issues.

Issue No. (i): Whether this Court has no territorial jurisdiction to try and entertain the present suit of the plaintiff? OPD/OPP

12. In order to prove the maintainability of the suit in Delhi, the plaintiff has proved on record Mark A-(also proved as Ex.DW1/X2) i.e. the distributor agreement dated 04.07.2016.

The said document is admittedly signed by the defendant on all pages except the stamp paper put thereon.

The execution of the document impacts the determination of the issue in consideration. It is the vehement contention of the defendant's side that the document was a mere draft/proposed distributor agreement, and the signing by the defendant is of no consequence and even otherwise, the same has lost its validity and cannot be pressed as binding. It is his further contention that as has also been proved by the defendant's witness DW-2-plaintiff's own ex-employee, that the document was signed at Ludhiana and no part of cause of action can be assumed to have arisen in Delhi. Besides, he has contended that the plaintiff has failed to prove that any payment was made to the plaintiff at their Delhi office, claimed to be within the jurisdiction of this court.

13. The contentions of the Ld. Counsel for the defendant and the document needs to be examined in greater detail.

In Dentsply India Pvt Ltd. Vs. Excel International & Ors., the Hon'ble High Court of Delhi in para no.5 has reiterated that in contractual matters, the jurisdiction of a Court, arises from four CS (COMM):654/22 Oppl Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

aspects:

- i. Where the contract is entered into.
- ii. Where the contract is to be performed.
- iii. Where moneys have to be paid under the contract; and
- iv. Where the defendants in the suit are residing or voluntary working for gain.

14. The testimony of DW-2 i.e. the affidavit in evidence submitted by the witness clearly records as under:

"That on 07.06.2016, in the presence of Mr. Avinash Dhadwal and the deponent obtained signatures of the proprietor of the defendant i.e. Mr. Harjit Singh's on the required documents as per the company's norms i.e. Application Form, KYC documents, a photograph, two blank cheques as security, and a draft agreement alongwith above said documents at their office i.e. 671/1A, Punjab Mata Nagar, Ludhiana, Punjab. At that time, as per the company's routine practice, no stamp paper was used for signatures from the proposed distributor. The authorized higher

officials of the plaintiff company would later sign and approve these documents at the Head Office (Head) level, a process the deponent was not fully aware of".

15. It is the case of the defendant that the stamp paper issued from Delhi has only been affixed later. A perusal of the document however, shows that the stamp paper is purchased by the plaintiff on 09.06.2016 i.e. prior to the date of execution of the agreement. Even if the objection/contention of the defendant side that the same was not attached to the document and hence not signed by the defendant, is considered, the same would not dilute the fact that the agreement must have been sent to the Head Office for onwards acceptance. The DW-2, in para no.5 of his affidavit has clearly stated that the agreement is sent to the authorized officer at Head Office for signing and approval, which is terms of law relating to contracts indicates the acceptance by the plaintiff at Delhi and the distributor agreement coming into existence. CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

16. Thus, it can fairly be considered that the execution of the document was completed at Delhi, even if the defendant himself had signed the same at Ludhiana. Besides, the court cannot be oblivious of the jurisdictional clause i.e. clause no. 9.7 of the agreement Ex.DW1/X2 which reads as follows:

Applicable Law: "This Agreement shall be governed by the laws of India. Any dispute, controversy or claim arising in any way out of or in connection with this Agreement, or the breach, termination or invalidity thereof (whether contractual, pre- contractual or non-contractual) (a "Dispute") shall be settled through friendly negotiation between authorized senior management representatives of each Party ("Management Consultation Process") commencing within ten (10) calendar days of either Party notifying the other of the existence of a Dispute. In the event that the representatives of the Parties have not settled the Dispute within thirty (30) calendar days upon either Party notifying the other in writing of the Dispute, the parties shall submit the Dispute to the exclusive jurisdiction of courts in Delhi. The Parties agree that no litigation shall be commenced without the completion of the Management Consultation Process. All payments hereunder shall be made into the bank account specified in writing by the Company. Company's rights granted hereby are cumulative and in addition to any rights it may have at law or equity".

The court, thus, is not left with any doubt as to the fact that the defendant has not only executed the document, but has also agreed for Delhi to be the exclusive place of jurisdiction.

17. Having regard to the fact that the business relationship has continued between the parties, the defendant cannot be heard to say that the same was a mere draft agreement or a proposed agreement or that the same was not completed or that it has lost its validity.

The issue is, accordingly, decided in favour of plaintiff and CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

against the defendant.

Issue no. (ii): Whether the suit of the plaintiff is not maintainable as per the mandate of Commercial Courts Act, 2015? OPD

18. The issue was placed on the defendant.

It is not in dispute that that parties were dealing on principal and an agent basis, and that transactions are commercial. The plaintiff is also found to have placed on record the original NSR dated 19.02.2022, which reflects satisfactory compliance of section 12A Commercial Courts Act before filing the proceedings. There is no other ground raised in respect of this issue. Even if, for the sake of arguments, assumed that the agreement was not executed, the defendant cannot wriggle out from the fact that the transaction is purely commercial in nature. The issue, is accordingly, decided in favour of defendant.

Issue No. (iv): Whether the plaintiff is entitled for recovery of sum of Rs. 60,61,340.19/- (Rupees Sixty Lakhs Sixty One Thousand Three Hundred Forty and Nineteen Paise only) in favour of the plaintiff and against the defendant? OPP Issue No. (v). Whether the plaintiff is entitled for any interest on the decretal amount pendente lite and in future, if yes, then at what rate? OPP Issue No. (vi). Whether the plaintiff is also entitled to cost of the suit? OPP

19. All these issues are taken up together being inter-connected. What transpires from the record is the fact that the plaintiff claims CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

a sum of Rs. 60,61,340.19/- (inclusive of interest) and the defendant has also pitched up its claim of Rs. 36,37,436.21/- as a defence.

At the outset, it may be noted that the defendant has neither filed any counter claim nor has claimed the set off in respect of the said amount in line with the order VIII Rule 6 CPC, upon payment of the requisite court fees. No issue has also been framed and neither seems to have been pressed by the defendant even subsequent framing of issues.

20. In "Shree Laxmikant Flour Industries Ltd. Vs. M/s Prem Chand Naresh Kumar & Anr. 2011 SCC Online Del 3073", the Hon'ble High Court of Delhi has upheld the rejection of claim for set off, in the absence of a proper counter claim upon due payment of the court fees. The court observed in the following terms:

On the aspect that the respondents/plaintiffs were entitled to the amount paid for the grains/goods supplied, there can be no quarrel inasmuch as not only the relevant bills and invoices have been proved but in reply exhibited as Ex.PW1/30 to the legal notice exhibited as Ex.DW1/2, the appellant/defendant no.1 admitted to have received the goods but denied payment on the ground that complete goods were not supplied resulting in loss to the respondents. The trial Court has rightly said that if

this case was true, the appellant/defendant no.1 ought to have filed the counter claim by payment of Court fee and ought to have got such an issue framed, however, no counter claim was filed, no Court fee was paid and nor an issue was framed on this basis. This argument of the appellant is also therefore rejected.

Thus, there can be no set off as claimed by the defendant as non filing of a counter claim/set off in line with the order VIII CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

Rule 6 CPC upon payment of the court fees entails a fatal disqualification to the claim of the defendant.

21. Coming now to the plaintiff's claim for the principal amount of Rs. 38,14,573.92/- together with interest on the ground of unpaid dues against the supplies. The plaintiff is found to have placed on record, certain invoices. The same, however, have not been proved and have merely been marked as Mark B (Colly).

Having regard to the fact that the existence of business relationship and supplies is not disputed, the said documents, regardless their being marked as Mark B, cannot be said to be of no consequence. Similar is the case of proof of delivery proved on record as Mark C (colly).

As can be culled out from para no.8 of the affidavit in evidence of PW-1 Ex.PW1/A, the plaintiff had based it claim on 18 invoices qua supplies between 29.11.2018 to 24.01.2019, and a sum of Rs. 38,14,573.92/- is stated to be pending in respect thereof.

The plaintiff is also found to have claimed interest to the tune of Rs. 22,46,766.27/- thereon, calculating the same @ 1.5% per month, till 28.05.2022. The plaintiff has also proved on record ledger statement as Ex.PW1/8 (colly). It is this document which has been assailed vehemently by the defendant side contending that not only there are unexplained reversal of entries, debiting of charges like cheque dishonour charges at an unexplained and exorbitant rate, but also an admitted error as to treating the cheques as dishonoured despite payment; and clear admission of CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

fact as to not taking into account payments to the tune of Rs. 10 lakhs.

22. Ld. Counsel for defendant has contended that the plaintiff has failed to account for return of goods, credit notes on account of incentives earned by the defendant and various other payments which fell due to the defendant and thus, the statement of account is an incomplete document. It is also impressed upon the court that the defendant had also proved its statement of account and subjected to cross examine therein extensively, but the same has not been proved to be incorrectly maintained or otherwise as unreliable. The defendant's side has further contended that the statement of account maintained by defendant and proving of record as Ex.DW1/X1 is duly proved and has more probative value then the statement of account proved by the plaintiff. In as much as

there are clear admissions from the PW-1 as to the deficiencies in the ledger account statement Ex.PW1/D.

23. In sum and substance, it is impressed upon the court that having regard to the fact that the defendant had been requesting for reconciliation as well as due credits of various components, no preference can be given to the ledger statement of the plaintiff over the ledger statement of the defendant and that the plaintiff failed to bring on record explanation as to non accounting of the payments of two cheques which are proved in terms of banker's certificate Ex.DW1/Z, as well as reversal of certain queries.

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24. Before proceeding further, reference to certain portions of the cross examination of PW-1 which is reproduced as under:

"It is correct that the transaction of an amount of Rs. 86,500/ and Rs. 17,240/- (Bs. 1,03,740/-) dated 27.08.2018 has been credited in the account of defendant and immediately debited the said amount by the plaintiff company. (Vol. There are high possibility that the ledger has been selected wrongly for which entry has been reversed and for that reasons, I need to check the transactions from the record). The mistakes does not occurs in the statement of account of the parties but it may be in our expense name account but the statement of account I have filed with the plaint is of the defendant. It is correct that the amount of Rs. 5 lacs received from the defendant by the plaintiff company has not been entered in the statement of account filed by the plaintiff".

"It is wrong to suggest that 04 entries dated 09.04.2019 were wrongly debited in the statement of account after filing the case by the defendant against the plaintiff company. (Vol. As this is a running account, number of entries have been passed in 2019 which is not linked to filing of any case by the defendant). I am not aware that any intimation has been sent by the plaintiff company to the defendant before making any debit entry in the account of the defendant. It is wrong to suggest that plaintiff company does not send any intimation to the defendant regarding the same. (Vol. I need to check with commercial team as usually the team sends complete ledger statement on frequent basis to the parties)".

"There is no written document about reduction of charges in case of cheque bouncing for an amount of Rs. 5900/-. The entry for cheque no. 000841 amounting Rs. 5 Lacs was also not clear and it was bounced. It is wrong to suggest that this cheque was cleared on 14.01.2019".

25. Ld. Counsel for the defendant has also invited the attention of the court towards certificate Ex.DW1/Z which records the encashment of cheques in the following terms:

This is to certify that A/C No. 50200012634995 is running in the name of A/C H S MARSHAL AND CO, 671/1A STREET NO 17 CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

PAKHOWAL ROAD, PUNJAB MATA NAGAR, LUDHIANA with us from 17.06.2015.

Further certified that chq no.000841 amt rs. 5.00 lacs debited from this account on dated 14.01.2019 in favour of opple Lighting and Chq No. 000857 amt rs. 5.00 lacs debited on dated 16.02.2019 in favour of M/s opple Lighting.

26. It is vehement submission of Ld. Counsel for defendant that plaintiff have been unilaterally and incorrectly maintaining the account, and the error can be also noted from the very fact that the four entries dated 19.04.2019 which records the debit note against wrong credit note in January 2019 are nowhere justified. Similarly, it is impressed upon the court that the cheques amount clearly mentioned to be encashed in favour of the plaintiff are not found to be adjusted in the statement of account. Besides, there are other glaring errors in the statement of account and it was squarely upon the plaintiff to prove the documents beyond doubt.

27. It is the submission of Ld. Counsel for defendant that the plaintiff have wrongfully debited the said amount on the grounds of credit wrongfully being given even though there was no reason or explanation provided despite specific queries. It is contended that five cheques of Rs. 5 lakhs each were encashed in favour of plaintiff for the period from 14.01.2019 to 16.02.2019 as is accounted for in the statement of account of the defendant, however, only three cheques of Rs. 5 lakhs that are reflected in the ledger statement Ex.PW1/D of the plaintiff for the period 30.01.2019 to 04.02.2019.

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28. Holistically considering the above and having regard to the fact that there is no explanation, which satisfactorily lays down the objections of the defendant to rest. The credibility of document Ex.PW1/D stands clouded. It is further dented by the very admissions of PW-1 as well as lack of explanations in respect of certain entries as are pointed out by the defendant. No doubt that the plaintiff has claimed to file an affidavit under section 63 of BSA, the same would not be sufficient to tide over the objections raised by the defendant.

29. Thus, the plaintiff could have examined some other witness/additional witness in order to clear the air and to bring further best possible evidence in this respect but is found to have closed its evidence after examination of PW-1 leaving these doubts/uncertainty to exist on record. The ledger account so proved by the plaintiff, fails to reach the threshold of preponderance of probabilities, considering its credibility having been clouded. This is where the court finds the case of the plaintiff to have earned a set back.

Issue no. (iv), (v) and (vi) are not proved by the plaintiff and hence, the same is decided in favour of defendant.

Issue No. (iii): Whether there is no cause of action in favour of the plaintiff and against the defendant in this plaint? OPD

30. The onus to prove the said issue was upon the defendant. No evidence with regard to this issue has been placed on record by CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.

the plaintiff. Hence, the present issue is also decided in favour of defendant.

Relief

31. As the sequel to the findings above, the suit of the plaintiff is dismissed.

File be consigned to record room after due compliance.

NIKHIL by NIKHIL CHOPRA CHOPRA Date:

Announced in the open court on 2025.07.30 17:27:19 +0530 30th July, 2025
(NIKHIL CHOPRA) District Judge (Commercial Court-02) South-East, Saket Courts,
ND 30.07.2025 CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr.
Harjit Singh Proprietor of M/s H.S Marshal & Co.

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H.S Marshal & Co.

30.07.2025

Present: None for plaintiff.
 Sh. Keshav Kumar, Ld. Counsel for defendant.

Vide my separate judgment of even day announced in the open court, the suit of the plaintiff is dismissed.

 File be consigned to record room after due
compliance.

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CHOPRA 17:27:30 +0
Date: 2025.

(NIKHIL CHOPRA)
District Judge
(Commercial Court-02)

CS (COMM):654/22 Opple Lighting India Private Limited Vs. Mr. Harjit Singh Proprietor of M/s H.S Marshal & Co.